

Retail Research	IPO Note
Sector: Capital Goods (Heating Equipment)	Price Band (Rs): 395 - 415
23rd April 2024	Recommendation: Subscribe for Long Term Horizon.

JNK India Limited

Company Overview:

JNK India Ltd., founded in 2010, is in the business manufacturing the process fired heaters (a type of industrial heater used to heat fluids or gases directly by burning a fuel source such as natural gas or propane), reformers and cracking furnaces (together, the “Heating Equipment”) that are required in process industries such as for oil and gas refineries, petrochemical and fertilizer industries.

Over the years, JNK has diversified into flares and incinerator systems and has been developing capabilities in the renewable sector with green hydrogen. The manufacturing is done at the in-house manufacturing facilities and/or third-party vendors. One of the manufacturing facilities is located in the Multi-Product Special Economic Zone in Mundra, Gujarat, where production is exclusively for export.

Key Highlights:

1. Established track record with a diverse customer base: The company has successful project completion track record of over 10 years and has 27% market share in process heating equipment market. The company has a diverse client base comprising of about 21 clients from domestic markets and 8 in overseas. Some of its prominent domestic clients are Indian Oil Corporation Ltd., Tata Projects Ltd., Rashtriya Chemicals & Fertilizers, and Numaligarh Refinery Ltd. etc. In overseas, it serves 8 diversified customers including leading EPC company in Europe, Leading Oil & Gas exploration & production company in Oman, Middle East arm of European EPC company in Oil and Gas.

2. Strong order book reflecting revenue visibility: The company has a robust order book amounting to Rs 845 cr as of Dec’23, which is 2.5x of the its 9MFY24 annualized revenue and pipeline of prospective projects for which the contracts are currently at various stages of negotiation, reflect clear revenue visibility.

3. High Entry Barrier: The heating equipment market in India is subject to high entry barriers due to stringent regulations, high capex requirements and technically complex products. Hence, competition is lower in the sector.

4. Well-positioned to capture industry tailwinds: With the upcoming developments in sectors like oil and gas, petrochemical and fertilizers and JNK India’s product leadership in the industry, the company is well-positioned to capture industry tail-winds through its demonstrated capabilities over time. There are 18 refinery and 15 petrochemical projects are expected to be commissioned by Fiscal 2031 with a cumulative capacity of 124.0 MMTPA and 23 MMTPA respectively (Source: F&S Report). The overall demand for Heating Equipment from Indian refineries, petrochemicals and fertilizer (urea) segments between Fiscal 2024 and Fiscal 2029 is estimated at RS 27,089.0 cr (i.e., Rs 45,00 cr pa).

Valuation: The company at lower and upper price band of Rs 395 and Rs 415, is valued at a PE multiple of 35.9x/37.5x of its 9MFY24 annualised earnings respectively on post issue capital. The company has demonstrated healthy financial performance as Revenue/EBITDA/PAT grew at 71.9%/68.1%/67.8% CAGR between FY21-FY23 to Rs 407.3 cr/ Rs 73.5 cr/ Rs 46.4 cr respectively. We recommend investors to subscribe to the issue for long-term investment horizon.

Issue Details	
Date of Opening	23 rd April 2024
Date of Closing	25 th April 2024
Price Band (Rs)	395 - 415
OFS	84,21,052 equity shares
Fresh Issue (Rs cr)	300
Issue Size (Rs cr)	633 – 649
No. of shares	1,60,15,989 - 1,56,49,968
Face Value (Rs)	2
Post Issue M. Cap (Rs cr)	2,221 – 2,308
BRLMs	IIFL Securities, ICICI Securities
Registrar	Link Intime India Pvt Limited
Bid Lot	36 shares and in multiple thereof
Anchor Investors	30%
QIB shares	20%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirements	262.7
General corporate purposes [^]	-
Total proceeds from fresh issue	300.0

[^] To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,57,60,000	94.6
Public & Others	26,32,000	5.4
Total	4,83,92,000	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,78,06,783	67.5
Public & Others	1,81,80,154	32.5
Total	5,59,86,937	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,78,06,783	68.0
Public & Others	1,78,14,133	32.0
Total	5,56,20,916	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	9MFY24
Revenue from operations (Rs cr)	138	296	407	253
EBITDA (Rs cr)	25	54	69	67
Profit (Rs cr)	16	36	46	46
EBITDA Margin (%)	18.4	18.2	17.0	26.4
PAT Margin (%)	12.0	12.1	11.4	18.2
EPS (Rs)	3.4	7.4	9.6	9.5*
ROE (%)	44.8	66.0	47.7	31.8*
ROCE (%)	52.8	83.3	57.2	34.7*
Debt / Equity (x)	0.2	0.1	0.3	0.3*

* Not Annualized

Source: RHP, SSL Research

Risk Factors

- **Revenue concentration risk:** The company derives majority portion of its revenues from sales of Heating Equipment. Loss or decline in the demand for such Heating Equipment may result in an adverse effect on its business, revenue from operations and financial condition.
- **Raw material price risk:** An increase in the component or raw material cost, or other input costs, may adversely affect the company's results of operations and profitability.
- **Order Book:** The number of orders received in the past, current order book and growth rate may not be indicative of the number of orders it would receive in future. The order wins and any delays in execution of orders exposes the company to time and cost overruns and variability in revenue. It may also materially and adversely impact its revenue from operations, cash flows and financial conditions.
- **Dependence on Specific sectors:** The company's business is heavily dependent on the capital expenditure of oil and gas, petrochemical and fertilizers industry and any downside in these industries would have an adverse impact on its revenue from operations, cash flows and financial conditions.

Growth Strategies

- **Expansion:** Geographical expansion with focus on high growth markets to capitalise on the industry tailwinds.
- **Enhance diversified offerings:** The company will Continue to expand its product portfolio and plan to provide diversified offerings to its customers through augmenting engineering capacities and technology partnership.
- **Strategic Investment:** JNK will selectively pursue strategic investment, partnerships and acquisition opportunities that complement its business and enhance technological capabilities, add credentials, or establish its presence in its targeted domestic and overseas markets.
- **Focus on Green Hydrogen:** JNK India aims to particularly focus on the green hydrogen sector as part of its expansion into green energy.

Revenue from operations – Segment wise

Revenue from Operations (Rs cr)	FY21		FY22		FY23		9MFY24	
	Rs cr	% of Revenue	Rs cr	% of Revenue	Rs cr	% of Revenue	Rs cr	% of Revenue
Oil & Gas	127.9	92.9	282.9	95.4	314.7	77.3	253.3	100.0
Petrochemicals	3.7	2.7	5.7	1.9	65.9	16.2	0.1	0.0
Fertilizers	5.0	3.6	0.1	0.0	0.8	0.2	0.0	0.0
Others	1.1	0.8	7.7	2.6	25.9	6.4	0.0	0.0
Total	137.7	100.0	296.4	100.0	403.7	100.0	253.4	100.0

Source: RHP, SSL Research

Order Book

	FY21	FY22	FY23	9MFY24
Order Book	143.6	543.5	868.3	845.0
New Order Booking	211.5	628.5	771.3	226.5
Order Book/Sales (x)	1.0	1.8	2.1	2.5*

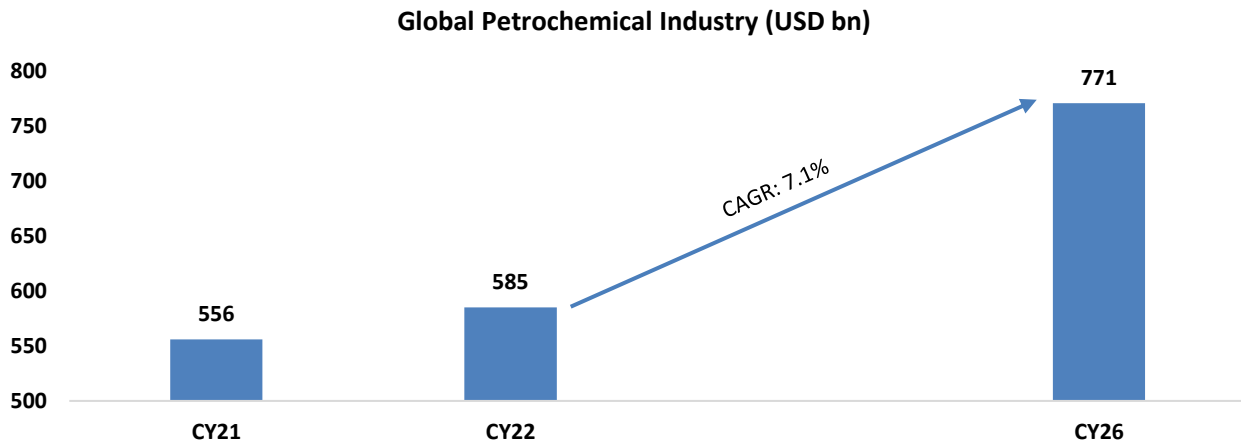
*9MFY24 annualized sales.

Source: RHP, SSL Research

Industry Overview

Global Petrochemical Industry

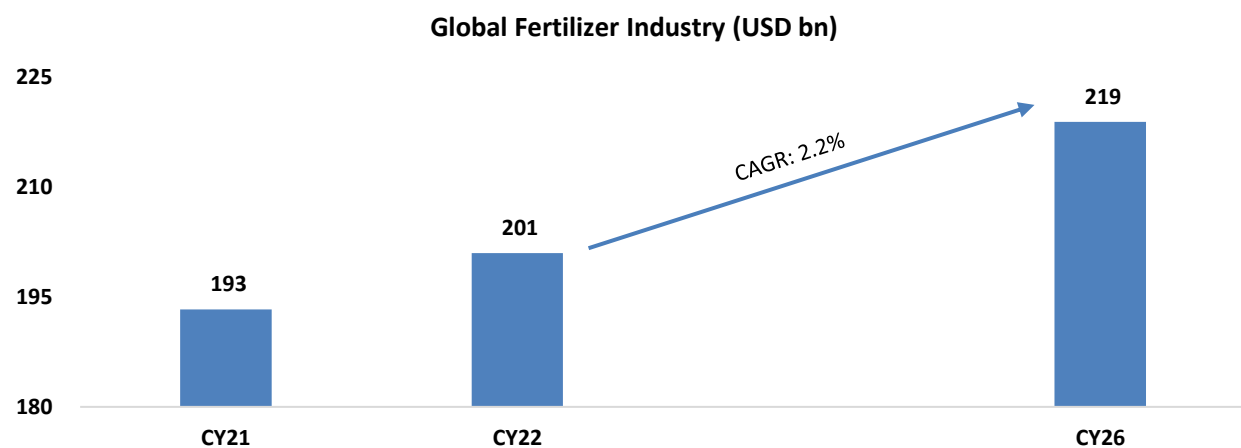
The global petrochemical industry was valued at USD 585 bn in CY22, registering a CAGR of 2.1% between CY18-CY22. Continued growth in key end user segments such as packaging and construction, driven by economic development in China, India and Southeast Asian countries would drive the demand for petrochemicals in the long-term. The global market is expected to reach USD 771 bn by CY26, recording a CAGR of 7.1% between CY22-CY26.



Source: RHP, SSL Research

Global Fertilizer Industry

The Global fertilizer industry was valued at USD 201 bn in CY22, and is expected to grow at a CAGR of 2.2% between CY22-CY26 to reach USD 219 bn by CY26. India is the third largest producer and second largest consumer of fertilizers in the world. India is still dependent on imports for meeting its fertilizer requirement and therefore has significant potential for capacity additions in the coming years.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	138	296	407
% YoY growth	-	115.2	37.4
Cost of Revenues (incl. Stock Adj.)	25	93	141
Gross Profit	112	203	267
Gross margins (%)	81.5	68.6	65.5
Employee Cost	33	41	53
Other Operating Expenses	54	108	144
EBITDA	25	54	69
EBITDA margins (%)	18.4	18.2	17.0
Other Income	1	1	4
Net Interest Exp.	1	4	4
Depreciation	2	3	7
Exceptional Items	0	0	0
PBT	23	48	63
Tax	6	12	16
Adj. PAT	16	36	46
Adj. PAT margin (%)	12.0	12.1	11.4
Adj. EPS (Rs)	3.4	7.4	9.6

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	1	5	5
Capital WIP	0	0	0
Intangible Assets under development	3	15	15
Other Non-current Assets	0	9	12
Current Assets			
Current Investment	0	11	0
Inventories	5	62	82
Trade receivables	54	110	114
Cash and Bank Balances	27	26	47
Short-term loans and advances	0	1	0
Other Current Assets	35	29	61
Total Current Assets	121	239	305
Current Liabilities & Provisions			
Trade payables	25	45	40
Other current liabilities	40	129	107
Short-term provisions	10	6	10
Total Current Liabilities	74	181	156
Net Current Assets	47	58	149
Total Assets	51	87	181
Liabilities			
Share Capital	1	10	10
Reserves and Surplus	36	63	113
Total Shareholders' Funds	37	72	122
Minority Interest	0	0	0
Total Debt	9	6	34
Long Term Provisions	0	0	2
Other Long-Term Liabilities	5	9	24
Net Deferred Tax Liability	0	0	0
Total Liabilities	51	87	181

Cash Flow (Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	11	39	-7
Cash flow from Investing Activities	-17	-25	-25
Cash flow from Financing Activities	8	1	25
Free Cash Flow	7	20	-14

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	13.2	13.4	13.7
Return on Capital Employed (%)	52.8	83.3	57.2
Return on Equity (%)	44.8	66.0	47.7
Margin Analysis			
Gross Margin (%)	81.5	68.6	65.5
EBITDA Margin (%)	18.4	18.2	17.0
Net Income Margin (%)	12.0	12.1	11.4
Short-Term Liquidity			
Current Ratio (x)	1.5	1.3	1.6
Quick Ratio (x)	1.4	1.0	1.2
Avg. Days Sales Outstanding	143	135	102
Avg. Days Inventory Outstanding	14	77	74
Avg. Days Payables	66	56	36
Fixed asset turnover (x)	173.2	54.4	74.9
Debt-service coverage (x)	2.5	5.5	1.8
Long-Term Solvency			
Total Debt / Equity (x)	0.2	0.1	0.3
Interest Coverage Ratio (x)	17.9	13.7	15.9
Valuation Ratios			
EV/EBITDA (x)	78.7	36.9	28.8
PE (x)	121.9	55.8	43.3
P/B (x)	54.5	27.8	16.4

Source: RHP, SSL Research

Peer Comparison

	JNK India Ltd	Thermax Ltd	Bharat Heavy Electricals Ltd
CMP	415.0	4,596.1	259.3
Sales (Rs cr)	407.3	8,090.0	23,365.0
EBITDA (Rs cr)	69.3	601.0	807.0
Net Profit (Rs cr)	46.4	451.0	477.0
M.Cap (Rs Cr)	2,308.3	54,765.4	90,272.5
Enterprise Value (Rs cr)	2,294.9	54,464.4	89,083.5
EBITDA Margin (%)	17.0	7.4	3.5
Net Margin (%)	11.4	5.6	2.0
PE(x)	37.5	121.4	189.3
EV/EBITDA	25.7	90.6	110.4
RoE (%)	47.7	12.3	1.7
RoCE (%)	57.2	15.1	3.3

The data is based on FY23 financial data.

For JNK India Limited the Market cap, PE(x), and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 22nd April 2024.

Source: RHP, SSL Research

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